

NIKE CODE OF CONDUCT

Introduction

At Nike, we believe that although there is no finish line, there is a clear starting line. The Nike Code of Conduct (Code) and Code Leadership Standards (CLS) lay out the minimum standards we expect each supplier facility to meet. We expect all suppliers to share our commitment to the welfare of workers and to use natural resources responsibly and efficiently.

These minimum standards are integral to Nike's supplier strategies – how we evaluate baseline performance and determine the suppliers with which Nike will continue to engage and grow our business. We work with suppliers who show a commitment to managing their business responsibly and sustainably and who seek to move beyond minimum standards.

Our Expectations

We expect all suppliers to share Nike's commitment to respecting the rights of workers and advancing their welfare, with particular care for people with unique vulnerabilities such as women, migrants, and temporary workers.

We also expect suppliers to use natural resources responsibly and efficiently, focusing on areas such as carbon and waste reduction.

As part of Nike's growth strategy, we seek suppliers who are building agile and resilient management systems which enable them to drive sustainable business growth through developing an engaged and valued workforce, fostering a strong culture of safety, and minimizing their environmental impacts.

Our Vision for Collaboration

Nike recognizes that achieving our vision of a more responsible and sustainable supply chain will require increased collaboration and joint action not only with our suppliers, but with other brands and all stakeholders in the supply chain.

We believe that relationships based on transparency, collaboration, and mutual respect are integral to making this happen. We will work with our suppliers as we continue to expand engagement with civil society, unions, governments, and others to affect systemic change to labor, health and safety, and environmental conditions in communities where our suppliers operate.

Commitment is Everything

NIKE CODE OF CONDUCT PRINCIPLES

Active

- Code Is Fully Implemented

Sustainable

- Air Emissions And Climate Impacts Are Minimized
- Waste Is Minimized And Handled Properly
- Water Is Valued
- Chemicals Are Properly Managed

Safe

- Workplace Is Safe
- Dorms, Canteens, And Childcare Facilities Are Healthy And Safe
- Building Is Fit For Purpose
- Fire And Emergency Action Plans Are In Place
- Occupational Health And Hygiene Hazards Are Controlled

Respected

- Employment Is Voluntary
- Minimum Working Age Is 16
- Supplier Does Not Discriminate
- Freedom Of Association And Collective Bargaining Are Respected

Fair

- Harassment And Abuse Are Not Tolerated
 - Working Hours Are Not Excessive
 - Compensation And Benefits Are Paid On Time
 - Regular Employment Is Provided
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ACTIVE

As a condition of doing business with Nike, the supplier will implement and integrate the Code, accompanying CLS and local law into its business, including development of effective management systems, and submit to verification and monitoring.

The supplier will develop an internal code of conduct that includes, at a minimum, all requirements in the Nike Code. The supplier will post its code of conduct in the local language(s) of all workers and include information about its code of conduct in worker training and orientation.

SUSTAINABLE

Air Emissions And Climate Impacts Are Minimized

The supplier follows all legal requirements and Nike-accepted industry standards for air emissions and energy systems management. Routine monitoring and reporting are required for:

- Greenhouse gases
- Volatile organic compounds
- Hazardous air pollutants
- Particulates
- Ammonia
- Ozone depleting chemicals

- Combustion by-products

The supplier will maintain all relevant purchasing and inventory records. Routine performance monitoring of all emissions generating processes and equipment is required. The supplier will strive to minimize emissions through improved efficiency and use of renewable energy sources.

Chemicals Are Properly Managed

The supplier demonstrates a consistent, effective, and legally compliant approach for chemicals management. The program clearly identifies and mitigates chemical risk to workers, the environment, and consumers by facilitating procurement, proper handling, storage, use, and disposal of chemicals.

Water Is Valued

The supplier minimizes freshwater withdrawals and discharges wastewater in compliance with local law and regulations and the CLS. The supplier strives to understand and manage its water risk and promotes water reduction and efficiency in operations.

Waste Is Minimized And Handled Properly

The supplier properly segregates, manages, transports, and disposes of all solid and hazardous waste in compliance with local law and regulations and the CLS.

The supplier obtains all required permits and verifies solid and hazardous waste subcontractors are properly qualified and licensed. The supplier measures and continuously strives to minimize waste generation.

SAFE

Workplace Is Safe

The supplier provides a safe workplace setting and takes necessary steps to prevent accidents and injury arising out of, linked with, or occurring in, the course of work or as a result of the operation of the supplier's facilities.

The supplier has systems to detect, avoid, and respond to potential risks to the safety of all workers.

Occupational Health And Hygiene Hazards Are Controlled

The supplier anticipates, recognizes, evaluates, and controls occupational health and hygiene hazards in the workplace. The supplier uses routine monitoring and analytical methods to determine the potential health effects of hazards that are present in the workplace. Workers are not exposed to physical, chemical, or biological hazards above occupational exposure limits.

Dorms, Canteens, And Childcare Facilities Are Healthy And Safe

All facilities operated by the supplier, including residential, dining, and childcare, are safe, hygienic, and healthy.

Facilities adhere to local law and regulations and the CLS that cover building construction and health and safety. The supplier has robust safety management systems in place to reduce or eliminate health and safety risks of operating these non-manufacturing/distribution facilities.

Building Is Fit For Purpose

The supplier's building and load bearing structures are constructed according to local law, certified civil or structural engineering construction approvals or international standards. Multi-use occupancies are not allowed.

Fire And Emergency Action Plans Are In Place

The supplier has a fire prevention and emergency action plan to protect workers during normal working operations and emergency situations.

The supplier provides:

- Fire detection systems to notify workers of emergencies
 - Safe exit routes when workers need to leave the building
 - Safe shelter locations when workers are required to remain in the building during emergencies
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RESPECTED

Employment Is Voluntary

The supplier does not engage in any type of forced labor, human trafficking or modern slavery, including prison, indentured, bonded or otherwise.

The supplier is responsible for payment of all employment eligibility fees of all workers, including recruitment fees.

The supplier complies with all requirements in the CLS to address key risks of forced labor, such as:

- Requiring worker freedom of movement
 - Prohibiting requirements to post bonds or make deposits as a condition of employment
 - Providing provisions related to management of workers with unique vulnerabilities
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Freedom Of Association And Collective Bargaining Are Respected

The supplier recognizes and respects freedom of association and collective bargaining.

The supplier honors prohibitions on interference with workers seeking to organize or carry out union activities, as well as prohibitions on intimidation, harassment, or retaliation for participation in a union or representative organization.

Where freedom of association and collective bargaining is restricted under local law, the supplier allows the development of parallel means for independent and free association and bargaining.

Supplier Does Not Discriminate

Workers are not subject to discrimination in employment, including hiring, compensation, promotion or discipline, based on gender, race, religion, age, disability, sexual orientation, pregnancy, marital status, nationality, political opinion, trade union affiliation, social or ethnic origin, or other status protected by local law.

All workers, regardless of gender, will receive equal pay for work of equal value.

Minimum Working Age Is 16

Nike forbids the use of child labor in facilities contracted to make or move Nike products.

The supplier's workers are at least age 16, or over the age for completion of compulsory education or country legal working age, whichever is higher.

Workers under 18 are not employed in hazardous conditions, such as working at night, working with chemicals or working with heavy machinery.

FAIR

Harassment And Abuse Are Not Tolerated

The supplier's workers are treated with respect and dignity. The supplier does not engage in or tolerate physical, sexual, psychological, or verbal harassment or abuse.

Regular Employment Is Provided

Work is performed on the basis of a recognized employment relationship established through local law and practice.

The supplier does not use any form of home working arrangement for the manufacturing of Nike product.

Working Hours Are Not Excessive

The supplier will not require workers to work more than the regular and overtime hours allowed by the law of the country where the workers are employed.

- The regular work week will not exceed 48 hours.
 - Workers will receive at least 24 consecutive hours of rest in every seven-day period.
 - All overtime work will be consensual.
 - Overtime will not be requested on a regular basis.
 - Overtime will be compensated at a premium rate.
 - Except in extraordinary circumstances, total hours per week will not exceed 60 hours.
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Compensation And Benefits Are Paid On Time

Every worker, regardless of gender, has a right to compensation for a regular work week that is sufficient to meet workers' basic needs and provide some discretionary income.

Workers are timely paid at least the minimum wage required by local law, or prevailing wage, whichever is higher.

Workers receive legally mandated benefits, including holidays and leaves, and statutory severance when employment ends.

There are no disciplinary deductions from pay.

If compensation does not meet basic needs and provide discretionary income, the supplier will develop, communicate, and implement strategies to progressively realize compensation that does.

Commitment is Everything

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